Collateral, Not Surveillance: The Home Day as a Worker Discipline Device

Prompt 1: Prof. Sir Christopher Pissarides (Labour) Evidence shows that workers like to work from home, say one day a week, but they hate monitoring devices that the firm might use to see how they allocate their time during the home day. What do you think the firm should do, if it wants to motivate its workers by giving them something that they like, but at the same time ensure it gets its money's worth during working hours?

Introduction

Wells Fargo fired over a dozen employees in June 2024 in the wake of an investigation into "simulation of keyboard activity creating impression of active work" (Bloomberg News, 2024). The firm had built a system that paid for the appearance of work, and that is exactly what it got. The episode typically is interpreted as evidence of the shirking of remote workers. It's better read as evidence that the firm mispriced the wrong contractible variable.

It's typically treated as a trade-off: give the home day and give up effort or monitor the home day and give up goodwill. This framing turns the economics upside-down. The home day is not something to claw back through surveillance; it's the cheapest disciplinary tool the firm has, because workers value it more than what it costs the firm to provide. The firm should thus increase the amenity, ration it, coordinate it, and forgo input monitoring completely, not for the sake of taste, but because it erodes the collateral that makes this arrangement self-enforcing.

I. The amenity is cheap money

Compensating-differential estimates agree. In the average applicant, Mas and Pallais (2017) find an 8 percent wage sacrifice to work from home using a DCE in the context of actual hiring, and Barrero, Bloom and Davis (2023) get the same 8 percent for two or three days a week. Let this be the worker's valuation, v.

The firm's cost of supplying the day, c, is a much smaller number - presumably negative. Bloom et al. (2015) report a 13% performance increase at Ctrip; Fenizia and Kirchmaier (2024) report a 12% productivity increase among public sector workers, due to less distraction.

The wedge $v - c > 0$ is the whole argument. The efficiency-wage models assume that the firm provides the worker with a rent R sufficiently large to prevent shirking: in Shapiro and Stiglitz (1984), the rent R has to be sufficiently high to make the expected cost of being caught greater than the expected benefits to the worker, roughly $qR \geq g$, with q the

probability of detection. Monitoring raises q; the amenity raises R. The two are substitutes in the constraint but not in cost. Because v exceeds c, each pound the firm invests in the home day produces more than a pound of worker rent, which cannot be replicated by any wage premium, nor even approximated by any monitoring contract. There's no compromise on flexibility that the firm makes in order to justify that surveillance; it's a better technology for making the same discipline.

II. Why monitoring fails on its own terms

First, multitasking. In the case of effort applied to multiple tasks of varying measurability, Holmström and Milgrom (1991) demonstrate that increasing the intensity of the incentive on the measurable task reduces effort on the unmeasurable task, so that when the proxy is noisy, the optimal intensity of the incentive on the proxy falls towards zero. Keystroke logs measure presence, the most substitutable input in knowledge work and are silent on judgement, mentoring and problem definition. The Wells Fargo workers weren't being lazy about incentives, they were being efficient about it — stuffing the one incentive that the boss paid for.

Second, control aversion. Falk and Kosfeld (2006) document that principals with a minimum effort policy reported lower levels of effort than principals who did not impose such a policy: control signals the principal's beliefs, and this is bad news, crowding out intrinsic motivation (Bénabou and Tirole, 2003).

Finally, monitoring demoralizes its own security. Surveillance reduces R but increases q, because what it removes is precisely the worker's unmonitored discretion over time during the home day. Mas and Pallais (2017) find workers will give up 20% of wages to avoid a schedule set by an employer at short notice, two and a half times what they pay for home-working itself. Authority over the timetable, not location, commands the premium; a device that reconstructs the time-clock in the worker’s kitchen returns them to precisely the arrangement they were paying 20% to escape. Hence $dR/dq < 0$: the no-shirking condition can *tighten* as monitoring intensifies, demanding still more monitoring - a low-trust trap in which the firm bears rising surveillance costs while spending down the very asset that made the day worth granting. The TUC (2018) finds 56% of British workers already assume they are monitored and 66% fear discriminatory use — the collateral is depreciating economy-wide.

III. Design: bond the day, do not watch it

Four elements follow.

Ration and coordinate. The firm, not the individual, should fix the day and grant it to whole teams. Scarcity is entitlement that secures R, entitlement that cannot be lost secures nothing, and the coordination externality is internalised. Emanuel, Harrington and Pallais (2023) find that co-located engineers give each other less feedback once no longer sharing space — junior and female engineers lose the most, senior engineers gain. A common home day is used to preserve the synchronous days not to perforate them.

Contract on coarse outcomes. Because the bond is large, the signal can be coarse: large R allows small q. Either a quarterly team deliverable or a supervisor's overall assessment is adequate. Fenizia and Kirchmaier (2024) find that the productivity gain associated with home working more than doubles when the home-working tasks are assigned by the supervisor. Task specification, not observation is the limiting factor; managerial effort is required in the work, not in the observation.

Let peers monitor. Colleagues see just what a keylogger can't. What makes Holmström's (1982) team moral hazard problem tractable is that the firm is a "free" budget-breaker: the withdrawal of the non-pecuniary amenity is costless, and hence, it can credibly commit to what would be a prohibitive wage group penalty. Kandel and Lazear (1992) demonstrate how peer pressure maintains efforts when groups are small and everyone can see everyone else – the modern project team.

Screen rather than compel. Provide a menu: unmonitored home day with outcome-contingent continuation or full attendance with conventional supervision. As the experimental 13% increase became about 22% when workers were allowed to self-schedule, Ctrip is decisive - workers who aren't well suited to home-working are simply going back to the office anyway (Bloom et al., 2015). Type is shown by self selection, never by compulsion.

IV. Stress-testing the design

Free-riding. Team revocation punishes the hard-working for the lazy deliberately, since that is precisely what extracts the peer information. The mechanism works only when n is low and membership is stable; it breaks down in larger or high-turnover teams.

Unverifiable output. When the outcomes are not contractable, the usual defence of input monitoring. But the objection is too strong: if output is truly unverifiable, then so too is effort, and keystrokes do not reflect output, they reflect attendance. The suggestion is that the relational contract must carry them – the reputation of the firm to pull someone at the last minute only for cause, and to do it again and again. Subjective evaluation with credible appeal route is superior to precise measurement of wrong variable.

Distribution. A revocable day would be most problematic for carers; making a prized amenity contingent breeds insecurity, and hybrid working is higher among high earners than among low earners (ONS, 2025), and more women than men report they would quit if hybrid working were discontinued (Bloom et al., 2024). This is the real essence of the design: revocation has to be team-level and outcome-based, otherwise it turns into a discretionary tool against individuals and the bond has to remain small – one day – otherwise some household's set-up is dependent on managerial judgment.

Competitive erosion. If all companies allow a home day, the rent disappears and the no-shirking condition is not met. This is the most fundamental criticism and the response is that rent is differential, not absolute – it is the difference between this firm's bundle and the next best alternative for the worker. A firm with a negative rent is a firm that monitors but rivals do not.

Conclusion

The firm should assign the day, pick it, and never peek in it, but tie it to a larger team goal. The recommendation is not based on trust as a virtue but on a valuation wedge: the home day provides worker rent higher than its cost, and surveillance is the only intervention which can break the wedge, and for which the worker can easily create a counterfeit signal.

The broader implication relates to the firm's boundary. Firms are formed because it is cheaper to allocate labour by authority than to contract for labour, and monitoring technology was expected to allow the extension of that authority into the home. It can't, for the home day is the day of the absence of authority. As AI is increasingly able to learn the codifiable parts of monitoring, the human role becomes even more intangible. This will make it increasingly difficult to buy effort and instead, firms will need to put up bonds on effort. The first such bond is the home day. Those who see it as an asset to be pledged will be amply rewarded;

those who see it as a blind spot to be illuminated will be bilked big time for the appearance of keyboard activity.

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